

Customer Segmentation Analysis (RFM Based)

💡 Key Insights

- **Strong Seasonal Sales Trend:**
Total revenue reached **\$93K**, with approximately **\$38K generated in January alone**. This indicates a significant seasonal spike due to **New Year demand**, contributing nearly **40% of total sales** in a single month.
- **High Customer Loyalty:**
Out of **2,000 customers**, around **694 customers are classified as Loyal**. These customers show repeated purchasing behavior, highlighting strong customer retention.
Additionally, **~70% of loyal customers prefer purchasing toys**, indicating a clear product preference trend.
- **Top Performing Product Category:**
Among all product categories, **Toys generated the highest revenue (~\$16K)**. This makes it the **most profitable category**, suggesting an opportunity to focus marketing and inventory strategies on this segment.
- **Customer Payment Preference:**
Although **4 payment methods** are available, the majority of customers prefer **Cash on Delivery (COD)**. This highlights a strong customer inclination toward **pay-on-delivery options**, which may indicate trust issues with online payments or a preference for convenience.

🔗 Recommendations

- Focus marketing campaigns during January to maximize seasonal sales.
- Offer discounts on digital payments to reduce COD dependency.
- Retarget loyal customers with personalized offers.
- Increase stock and promotions for high-performing categories like Toys.

